

International Political Economy

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March, 2026

Last class: GVCs and market institutions

- GVCs create competition in intermediate and final goods.
- Reduces transaction costs, increases support for free trade.
- Creates exit options to reduce costs of regulation (race to bottom).
- ...but can also generate market-based institutions twofold:
 - Tying the hands of firms to keep customers happy.
 - Tying the hands of governments to keep FDI (in authoritarianism).
- Can create vulnerabilities (weaponized interdependence).
- Overall it has increased production and development.

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Central banks and monetary policy

- Central banks control the supply of money through interest rate.
- ...alternatively it can align monetary policy to fixed exchange rate.
 -but reduces room for adjustment when there're shocks/spec attacks/capital flight. (Recall Mundell-Flemming.)
- Purpose is to stabilize the value of the currency (control inflation).
 - Can depend on value of domestic and imported goods.
 - Seigniorage is ill advised as it generates inflation through a "tax."
- No hyper-inflation is relevant for economic growth.

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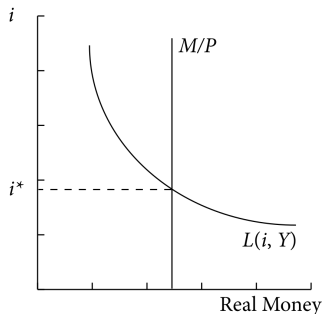
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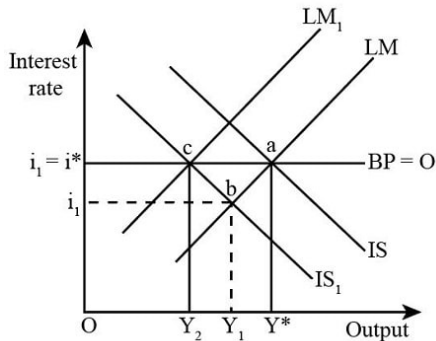
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Mundell-Flemming (a reminder)



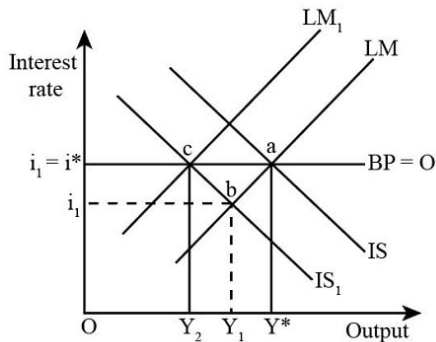
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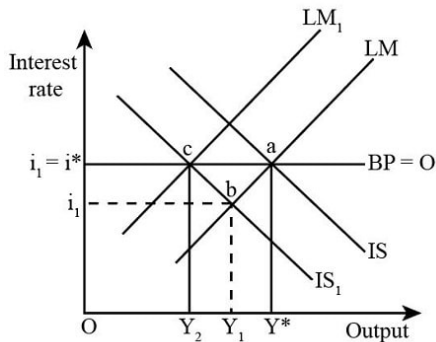
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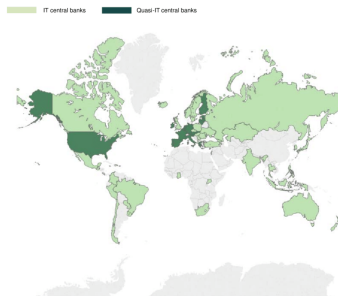
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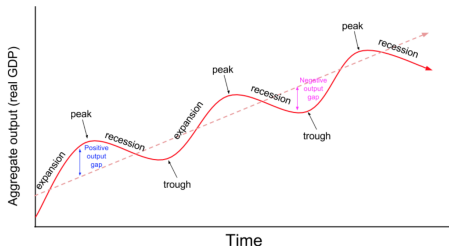
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 - Focus on countercyclical policy (recall Real Business Cycles).
 - ... to maintain employment and investment during crises.
- Needs space to increase/reduce interest rate.
 - Negative nominal interest rates can harm financial sector.
 - ... pensions, savings, financial instruments, etc.

Central banks and monetary policy



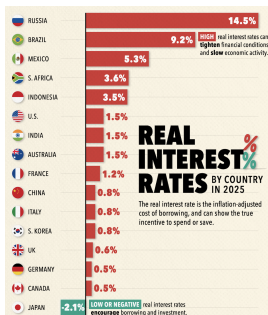
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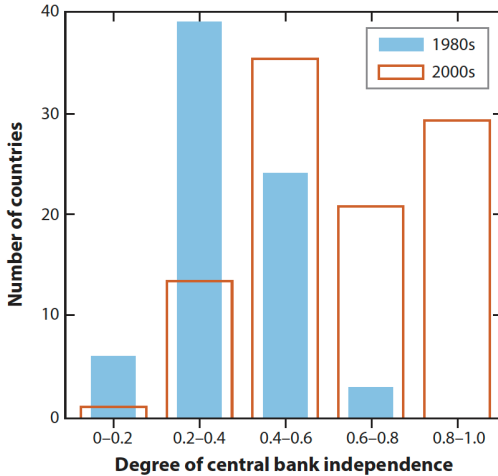
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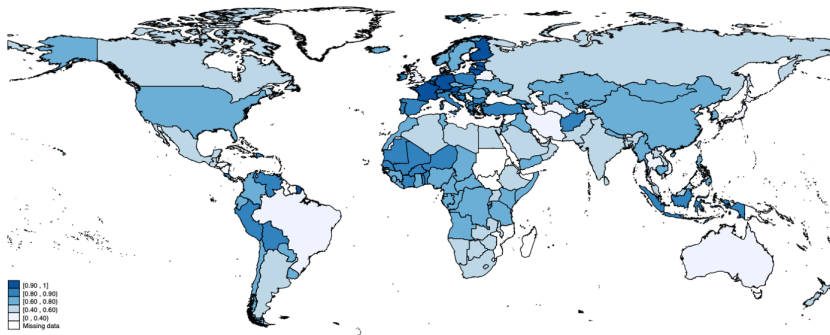


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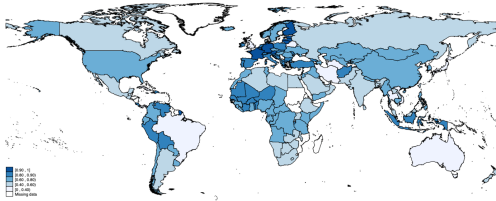
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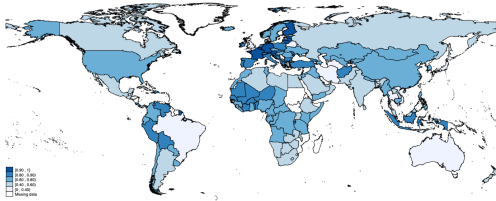


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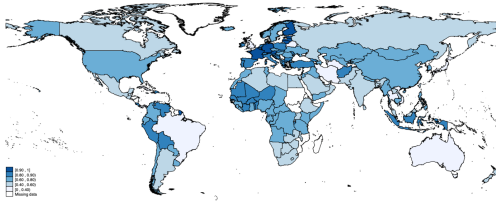
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- Implies independence of Central Bank.
- If politically determined it can affect...
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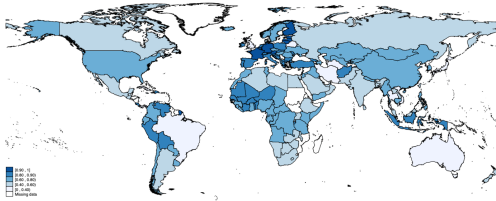
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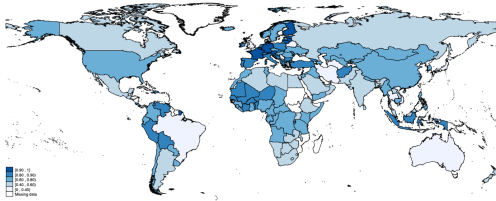
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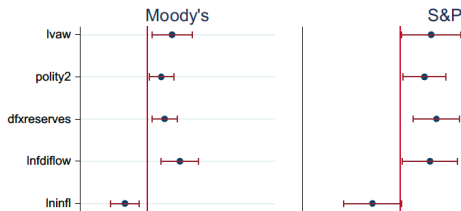
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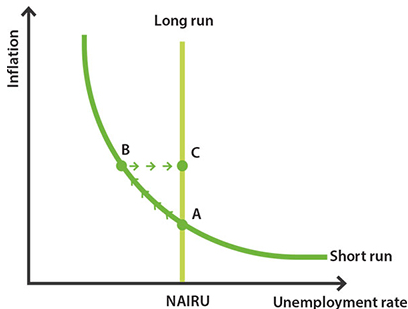
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- Facilitates financial planning and contracts (no inflation bias).
 - ...as such it also provides higher credibility to debt repayment.

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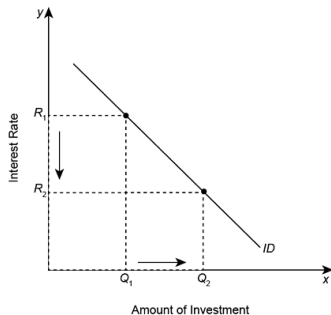
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Political preferences and central bank independence



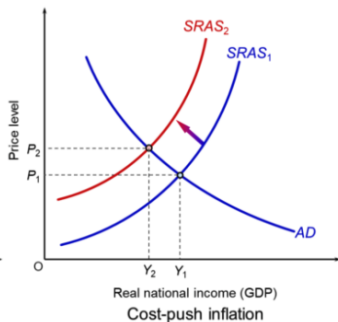
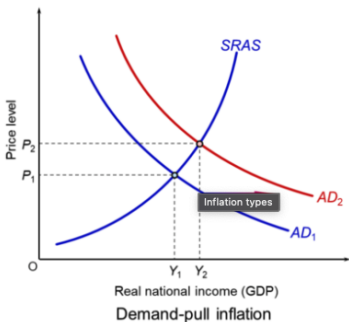
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- Right: may want to maintain investment/production high.
- Central banker as agent: Neoclassical v. (Neo-)keynesian.
- Polarization with two veto players enhances role of independence.
- ...more players in democracies (consider probabilistic voting).

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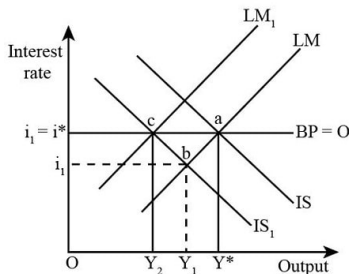
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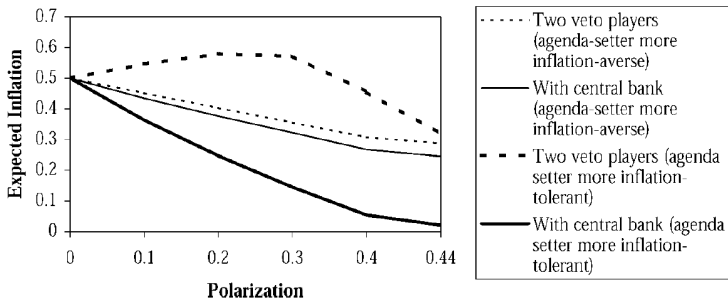
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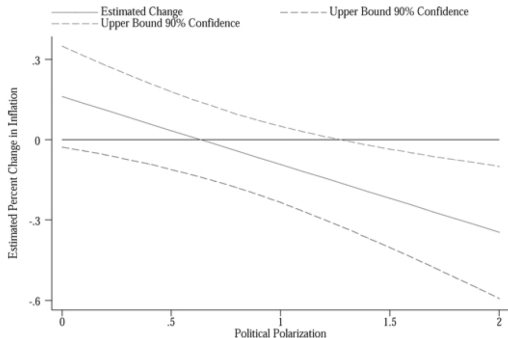
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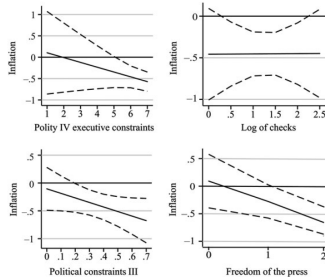
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■ More authoritarian risks inflation...

- Left: maintain workers happy—eases borrowing + spending.

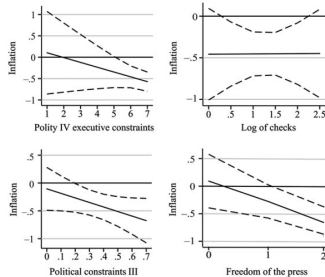
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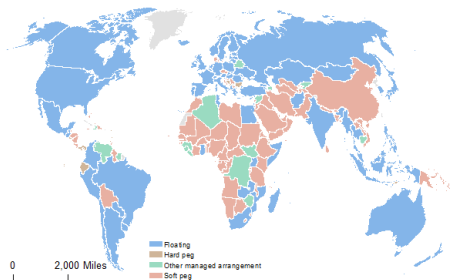
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Political preferences and central bank independence

	(1)	(2)	(3)	(4)
Autocracy (HT)	0.402** [0.192]			
Autocracy (CGV)		0.279 [0.182]		
Civilian Dictatorship (HT)			0.238 [0.209]	
Military Regime (HT)			0.568** [0.247]	
Monarchy (HT)			0.878** [0.447]	
Civilian Dictatorship (CGV)				0.080 [0.248]
Military Regime (CGV)				0.351* [0.207]
Monarchy (CGV)				0.727* [0.429]

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Monetary policy and international trade

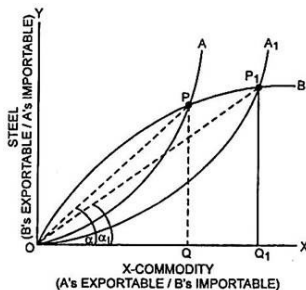


Fig. 12.4

- Exchange rate affects the terms of trade (export/import prices).
 - $\Downarrow$ interest rate: worsen terms of trade; affects consumers and GVCs.
 - $\Uparrow$ interest rate: improves terms of trade; affects import competing.
- Trade-off exacerbates with high passthrough.
 - passthrough: effect of change in import prices on domestic prices.

Monetary policy and international trade

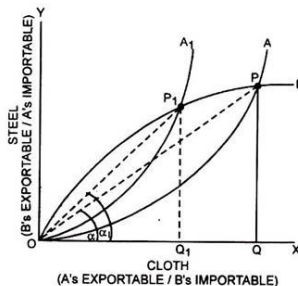
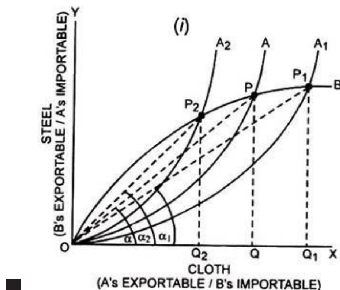


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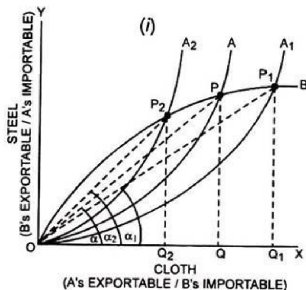
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■ What does this mean?

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 - passthrough: effect of change in import prices on domestic prices.
- Distributive conflict between export- and import-competing sectors.

Class exercise: Central Bank Independence in the US?

- 1 Make groups of 2/3 people.
- 2 What can we expect if Kevin Warsh replaces Jerome Powell?
- 3 Who benefits, the export- or import-competing sector?
- 4 Could the USD lose status as reserve currency? (UK as point of view.)
- 5 10 minutes.
 - Feel free to use the Internet.
 - I will chose someone from the group.
 - Representative will convey main ideas.



Increase in demand for gold



- Countries diversifying from USD as reserve currency?
- Countries want to control key asset (as a store of value).
- ...but has not translated to higher demand for Bitcoin. Why?
- ...why is sterling silver not used?
- ...why did the price of the gold suffered a (small) collapse?

Increase in demand for gold



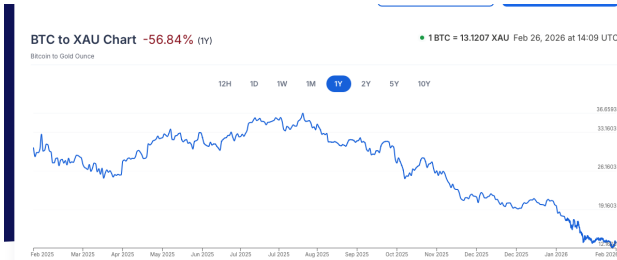
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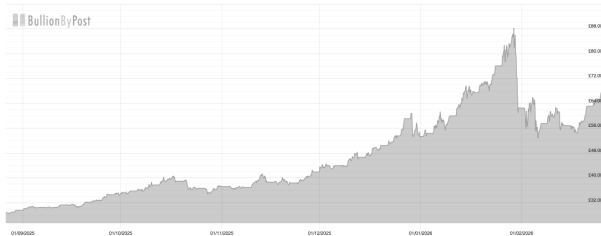
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